

Procure Space ETF

SPCX NASDAQ

Hold	\$135.36 ▼ 2.44%	12M Price Target \$145.00	52-Week Range \$104.83 – \$225.64	Market Cap \$1.78T
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SPCX: Space ETF Cools After Wild Rally on SpaceX AI Buzz

WHAT HAPPENED

- SPCX gave back 2.4% today after an absolutely bonkers 28% run from Aug 5 (\$108) to Aug 10 (\$139). This is normal — after a move that violent, some profit-taking is healthy, not scary. Volume today was TINY (18M vs 200M+ recent days), which tells me this isn't panic selling, it's just a breather.
- The rally was fueled by two big narratives colliding: SpaceX building "orbital AI data centers" (data centers in SPACE, powered by solar, cooled by the vacuum — sounds sci-fi but Google's a 7.5% holder for a reason) and a VinSpace-SpaceX deal to launch Vietnam's first satellites. Meanwhile Rocket Lab tanked on earnings — reminder that not every space name is a winner.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

POLICY & POLITICAL WATCH

The Trump administration's Golden Dome missile defense initiative and expanded Space Force budget are direct tailwinds — the FY2026 defense authorization has meaningful space allocations that flow to SpaceX, Rocket Lab, and satellite defense contractors held in this ETF. Also watch the FAA commercial launch licensing reforms currently being pushed — faster approvals mean more launches, more revenue. The one risk on the horizon: any renewed China tech tensions could disrupt satellite component supply chains, since some smaller ETF holdings source parts from Asia.

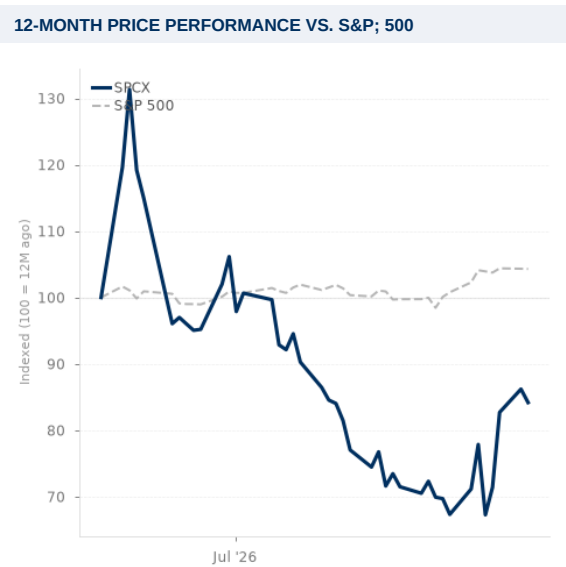
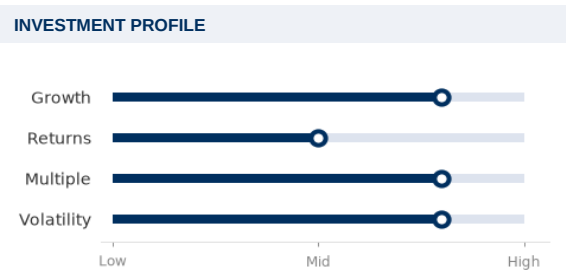
IS IT EXPENSIVE?

This ETF trades on the value of its underlying holdings, dominated by SpaceX (private, valued around \$400B) and public names like RKLB, IRDM, MAXR. At current prices, you're paying up for a SpaceX valuation that's already priced for perfection — think of it like paying \$400 for a stock that "should" be \$300 based on today's revenue, but might justify \$500 if the orbital AI thing works. Not cheap, not insane — but definitely not a bargain after this rip.

WHAT COULD GO WRONG

- Orbital AI data centers are a MULTI-YEAR project — if it becomes clear this is 2030 tech, not 2027 tech, the AI-premium multiple deflates fast
- SpaceX is private and dominates this ETF's value — you're basically taking someone else's word on what SpaceX is worth, which means the ETF can move on rumor rather than reported earnings

Key Data	
Price (USD)	\$135.36
12M Price Target	\$145.00
Upside / (Downside)	+7.1%
Market Cap	\$1.78T
FY2026E Revenue	\$693M
FY2027E Revenue	\$940M
FY2026E EPS	(\$2.10)
FY2027E EPS	(\$1.50)
Fwd P/E	N/M



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$155.00	\$138.00	\$118.00
6 Months	\$175.00	\$145.00	\$110.00
1 Year	\$200.00	\$155.00	\$100.00
2 Years	\$260.00	\$185.00	\$95.00
5 Years	\$380.00	\$260.00	\$120.00
10 Years	\$600.00	\$400.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Industrials (+1%) and Materials (+0.6%) — classic "we're building physical things again" trade, which supports the space hardware thesis. Healthcare quietly up 4.5% on the week too.

COOLING OFF: Tech only +0.15% today and flat on the week — the mega-cap AI trade is losing some steam, which is why the "AI in a new place" (space, healthcare, industrials) story is getting airtime.

ROTATION WATCH: Money is rotating from pure-play software AI into physical AI infrastructure — space, power, cooling, chips. SPCX benefits because orbital data centers ARE physical AI infrastructure.

RELATED PLAY: If orbital compute is real, the ground stations and satellite communication companies (VSAT, IRDM which is IN this ETF) benefit second-order. Nuclear/power names too — those data centers need juice.

WHO'S WINNING IN THIS SPACE?

- IRDM (Iridium): Satellite comms benefits directly from more objects in orbit needing to talk to each other
- LMT (Lockheed Martin): Golden Dome contracts and space-based defense spending flowing through

SPCX CONTEXT: SPCX is LEADING its peer group hard — 25% of 52-week range but coming off the lows aggressively. When an ETF outruns its individual components, it usually means retail is piling into the theme via the easy ETF ticker. That's a signal to be a little more cautious short-term, more constructive long-term.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term story a lot, but chasing after a 28% five-day rip is how you get hurt. Cautiously optimistic, not pounding the table.

POSITION SIZE: 2-4% — real theme, real volatility. This can drop 20% in a week just as easily as it went up.

ENTRY POINTS: I'd wait for a pullback to \$118-125 before adding meaningfully. If it never pulls back and rips higher on more orbital AI news, you can chase small — but the smart money buys the dip on themes like this.

TIME HORIZON: 12-24 months. The catalysts I'm watching: first orbital AI data center prototype announcement, FY2027 defense budget space allocation, and SpaceX Starship operational milestones.

WHEN TO BAIL: If SpaceX publicly delays orbital compute timelines, or if the ETF breaks back below \$108 (the pre-rally base), the thesis is broken and I'd step aside.

HEDGING: Simplest hedge — don't oversize the position. If you want fancier protection, buy a cheap out-of-the-money put (basically insurance that pays out if the stock crashes) on the ETF a few months out.